

China: The emerging impact of raw materials supply disruptions

We see supply disruptions from the Middle East affecting China's industrial production (IP) and estimate about half of the sharp IP growth slowdown in **April** was caused by the oil and chemical sectors, which jointly account for 15% of the overall industrial sector and 40% of the raw materials sector. As President Trump warned the blockade of the Strait of Hormuz could remain in place until September, we believe the supply bottleneck will likely continue over the next few months. We **expect** IP growth to remain subdued at around 4% y-o-y in May and maintain our below-consensus Q2 GDP growth forecast of 4.1% y-o-y (Consensus: 4.7%). Though China's **stable power supply** could provide a buffer, the supply shock as a result of the energy crisis will still inflict pain on China's economy via shortages and higher prices. It is imperative for Beijing to secure alternative sources and tap strategic reserves to ease the supply shortages for key raw materials.

A closer look at IP growth in April

Activity data broadly missed market expectations in April, especially IP data. IP growth slowed sharply to 4.1% y-o-y in April from 5.7% in March (Figure 1), far below the market consensus forecast of 6.0% and even weaker than our more cautious forecast of 5.2%. This 4.1% growth reading was the lowest monthly print in nearly three years. A sectoral breakdown analysis reveals a material impact from global supply disruptions on oil and chemical sectors.

Oil and chemicals were major drags

In detail, IP growth in the "oil, coal and other fuel processing" sector fell sharply to -0.9% y-o-y in April, the lowest reading since August 2024, from 8.1% in March. Processing volumes of crude oil contracted by 5.8% y-o-y in April (Figure 2), worsening from the 2.2% decline in March. Output volumes of asphalt, a byproduct of crude oil used for building roads, plummeted by 40.1% y-o-y in April, widening significantly from the 19.7% decline in March.

As crude oil and LNG are crucial raw materials for chemical products, and with a natural shift to the strategy of "guaranteeing oil while reducing chemical production (保油减化)" and a slump in imports of chemical raw materials from the Middle East, IP growth of the chemical raw materials and product sector also slowed notably in April to 5.3% y-o-y from 9.0% in March. Constrained by the limited supply of raw materials, IP growth for chemical fiber manufacturing dropped to 2.2% y-o-y in April, the lowest reading since March 2023. Due to the acute shortage of sulfur, a byproduct of petroleum refining and natural gas purification (desulfurization), output growth of sulfuric acid, hailed as the "mother of the chemical industry", fell sharply to -2.2% y-o-y in April from 6.2% in March. As raw material supplies tighten, output growth of primary plastics and chemical fibers dropped to -4.4% y-o-y and -3.9%, respectively, in April from 4.3% and 2.2% in March.

We estimate the direct drag on IP growth from oil and chemical sectors was about 0.70pp y-o-y in April. As oil and chemical sectors account for about 40% of the raw material industry, and adding indirect impacts, we believe the supply disruptions to oil and chemical sectors might have contributed about half of the sharp IP slowdown in April. Amid the global AI supercycle, IP growth of computers, communication equipment and other electronic equipment accelerated to 15.6% y-o-y in April from 12.5% in March, contributing a 0.4pp y-o-y boost to IP growth in April. In other words, without the boost from the tech-related sector, IP growth would have dropped below 4%.

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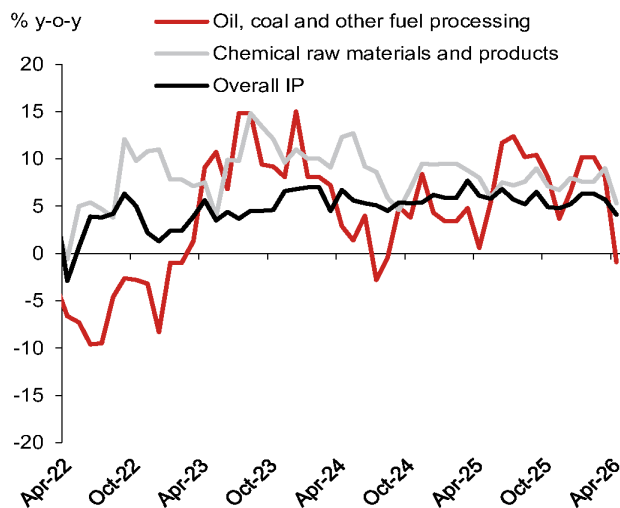
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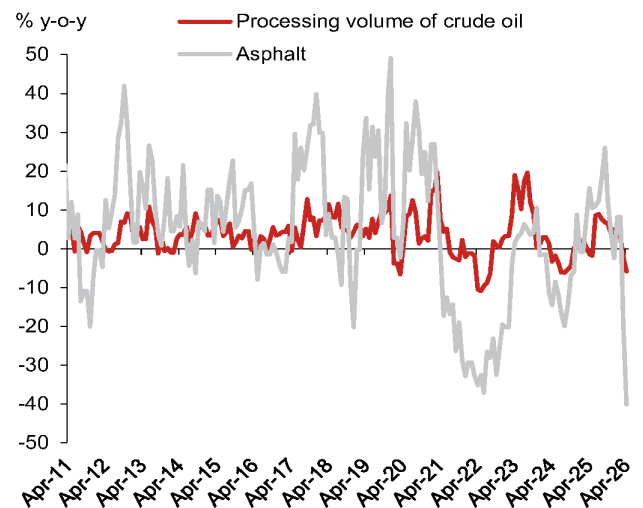
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Fig. 1: IP growth of oil and chemical sectors

Source: NBS, Wind, Nomura Global Economics.

Fig. 2: Output volume growth of key oil related products

Source: NBS, Wind, Nomura Global Economics.

The supply disruptions might have extended to May

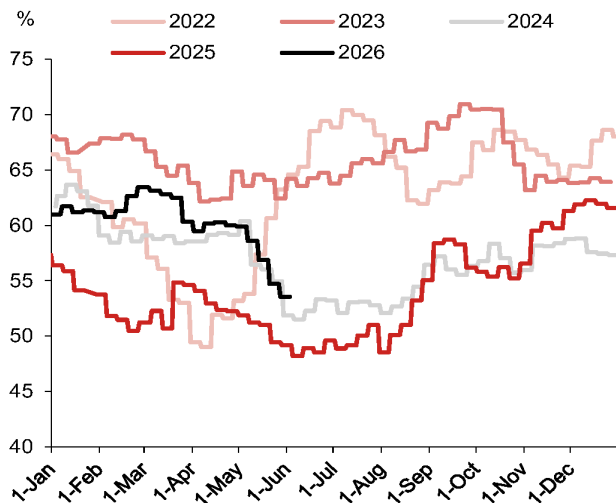
High-frequency data for May, including factory operating rates and PMI data, point to continued weakness in oil and chemical sectors. As the oil and chemical sectors jointly contribute 40% of the output of raw material sector, the disruptions to their production will have ripple effects and could trigger a compounding impact across the broader economy.

Evidence from weekly factory operating rates

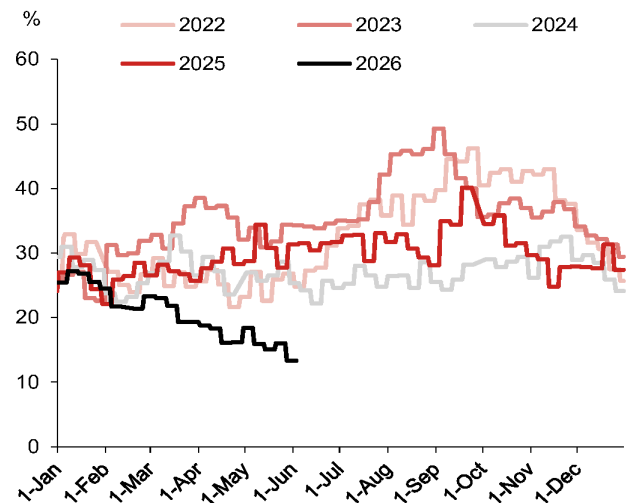
- The operating rate of Shandong oil teapot refineries dropped to 54.7% at end-May and further down to 53.6% in early June from 60.0% at end-April (Figure 3). Its monthly average operating rate fell further to 6.2pp above last year's May rate from 7.0pp above in April and 9.7pp above in March. China's teapot refineries are small, independent processors based primarily in Shandong that manage roughly 25% of the country's refining capacity.
- The operating rate of asphalt factories dipped to 16.0% at end-May and further down to 13.3% in early June from 16.2% at end-April and 19.3% at end-March (Figure 4). Its monthly average opening rate dropped to 14.6pp below last year's May rate from 11.2pp below in April and 5.7pp below in March. As asphalt is a key material for road construction, its declining output and rising price will likely depress infrastructure construction activity.
- The operating rate of purified terephthalic acid (PTA) factories fell sharply to 59.3% at end-May from 69.0% at end-April (Figure 5), before rebounding moderately to 66.4% in early June. The monthly average operating rate dropped further to 8.9pp below last year's May rate from 5.2pp below in April and 2.6pp above in March. As a crude oil derivative, PTA is primarily used to produce plastics and fabrics.
- As PTA supplies run short, the downstream polyester and textile manufacturing chain is also disrupted. The operating rate of polyester filament yarns (PFY) factories in Jiangsu and Zhejiang provinces fell to 79.2% at end-May from 81.9% at end-April (Figure 6). The monthly average operating rate fell further to 10.3pp below last year's May rate from 10.1pp below in April and 7.3pp below in March.

PMI data corroborate the extended supply damage in May

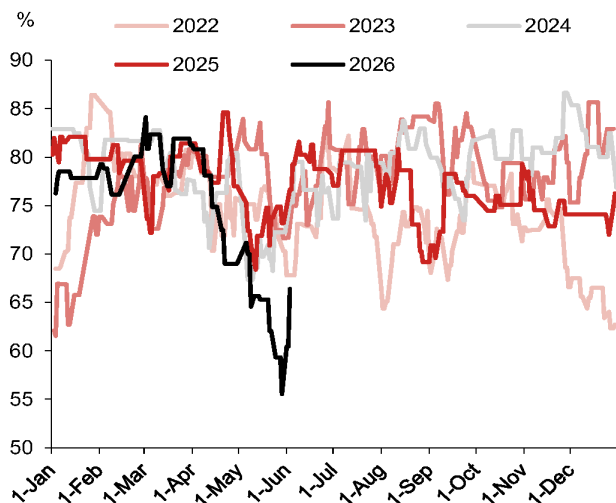
The official manufacturing PMI dropped to 50.0 in April from 50.3 in March, in line with market consensus. However, adjusting for *distortions* due to a higher suppliers' delivery time sub-index, which is an inverted index, the headline PMI might have already dipped below 50, closer to our forecast of 49.9. Moreover, according to the NBS, major drags for May's PMI include the petroleum, coal and other fuel processing, chemical fibres and rubber and plastic products, for which both production and new orders subindices have remained below the 50-mark, pointing to sustained weakness in both demand and supply.

Fig. 3: Weekly operating rate of Shandong teapot refineries

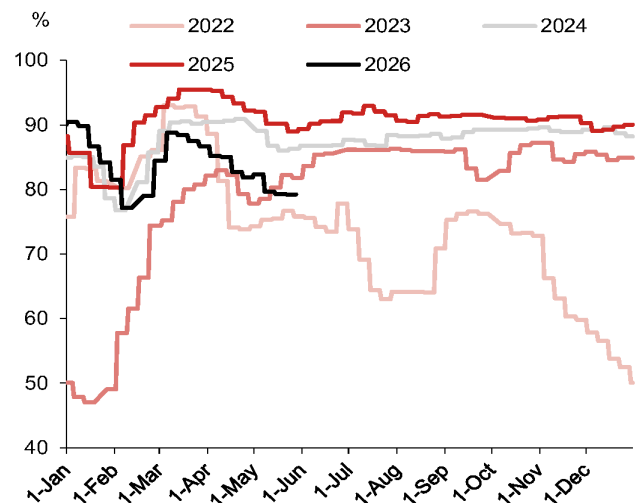
Source: Wind, Nomura Global Economics.

Fig. 4: Weekly operating rate of asphalt factories

Source: Wind, Nomura Global Economics.

Fig. 5: Weekly operating rate of PTA refineries

Source: Wind, Nomura Global Economics.

Fig. 6: Weekly operating rate of PFY factories in East Coast

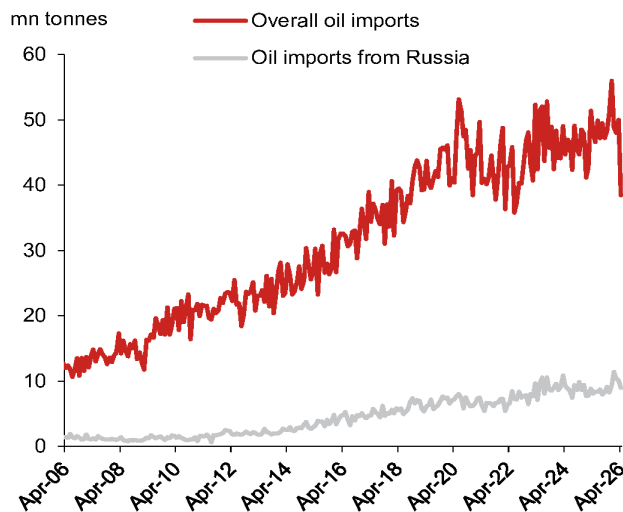
Source: Wind, Nomura Global Economics.

The import disruptions of crude oil and LNG

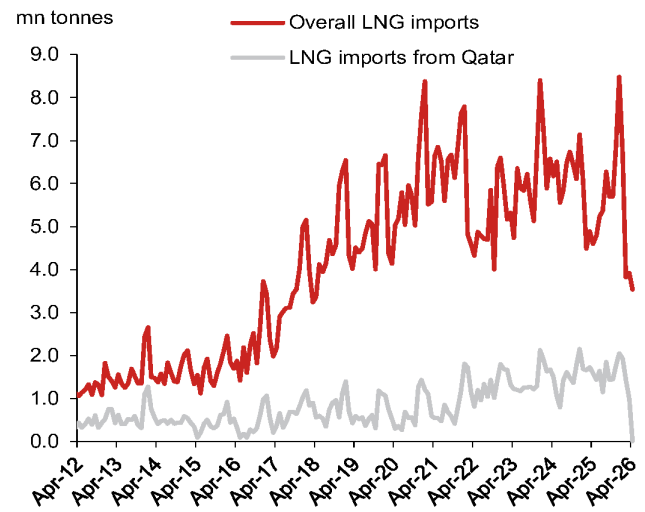
Before the Iran war, 50% of China's oil imports and 16% of its natural gas imports passed through *the Strait of Hormuz* (SoH). Due to the severe damage to a wide range of energy facilities in the Middle East and the blockage of the SoH, the supply disruptions are starting to be reflected in China's import data. In April, China's import volume of crude oil slumped by 20.0% y-o-y to its lowest level since August 2022 (Figure 7). The replacement from Russia appears limited so far, as oil import volumes from Russia slowed to 11.3% y-o-y in April and 13.8% in March, following a 40.9% spike in January-February.

As a refined product of crude oil, naphtha's import volumes plunged by 51.3% y-o-y in April, worsening from a 35.7% drop in March. Naphtha is a lightly refined petroleum product, also known as crude gasoline, primarily used to produce chemicals like ethylene and propylene, which in turn are used to produce plastics, fibers and rubbers. China's import reliance on naphtha is about 17%, with about 40% of its imports from Persian Gulf.

On LNG, import volumes tumbled by 23.1% y-o-y in April to its lowest monthly reading since April 2018 (Figure 8), as imports from Qatar crashed by 99.4% y-o-y in April, due to the significant damage to Qatar's Ras Laffan export capacity caused by Iranian retaliatory missile strikes.

Fig. 7: Russian oil seems insufficient to fully fill the gap

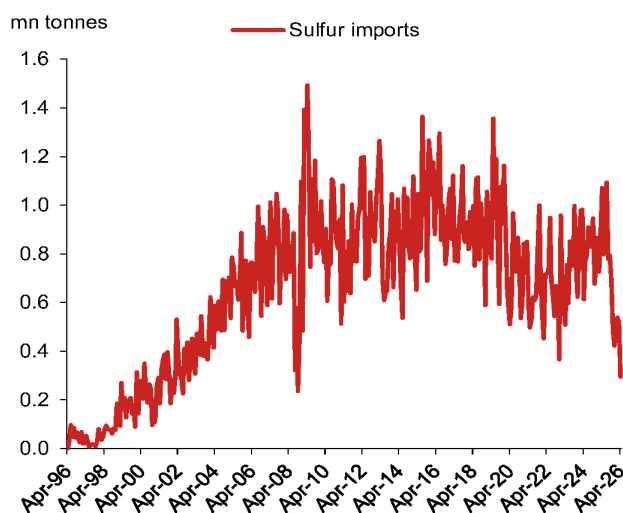
Source: China Customs, Wind, Nomura Global Economics.

Fig. 8: LNG imports from Qatar tumbled to almost zero

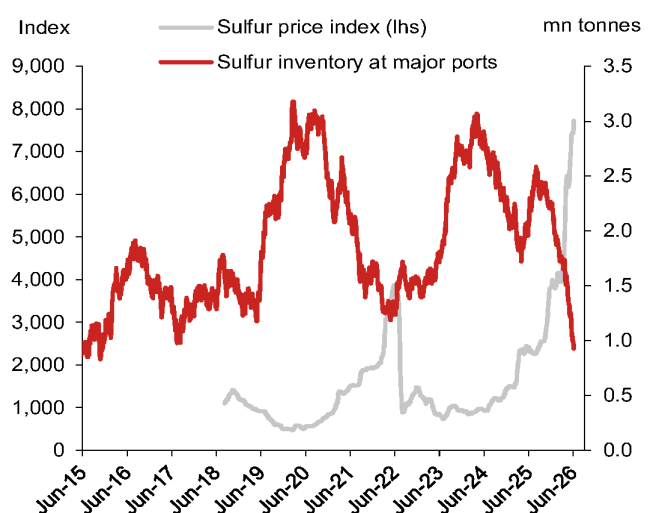
Source: China Customs, Wind, Nomura Global Economics.

The import disruptions of chemical raw materials

For sulfur, import volumes crashed by 72.4% y-o-y in April to its lowest monthly reading since October 2008 (Figure 9), and the supply shortage worsened even further after April. Inventories of sulfur at China's major ports slumped by another 26% from end-April to early June (Figure 10), after a 28% dip in March-April, with its prices jumping by 94.4% since end-February. China's import dependence on sulfur is around 50%, with about 55% of its imports sourced from the Middle East. Globally, 80-90% of all sulfur ultimately goes into the production of sulfuric acid. Notably, China ranks as the world's top producer and exporter of sulfuric acid. 55% to 60% of total sulfuric acid consumption is subsequently channelled into fertilizer production, mainly phosphate fertilizer.

Fig. 9: Imports of sulfur slumped to the lowest since 2008

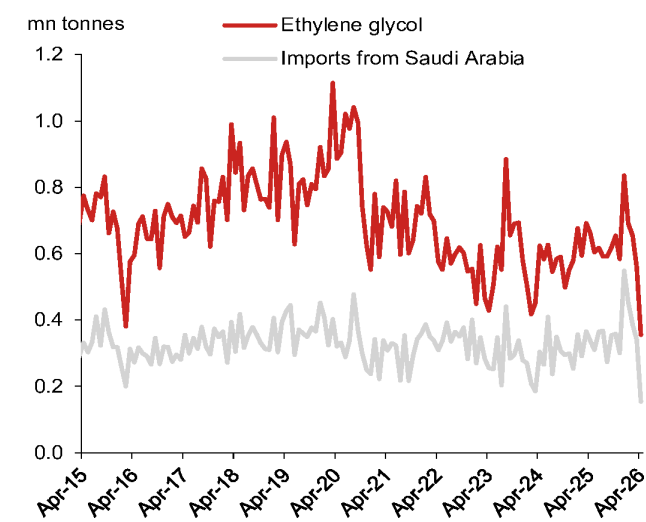
Source: China Customs, Wind, Nomura Global Economics.

Fig. 10: A steep drawdown of sulfur inventory

Source: Wind, Nomura Global Economics.

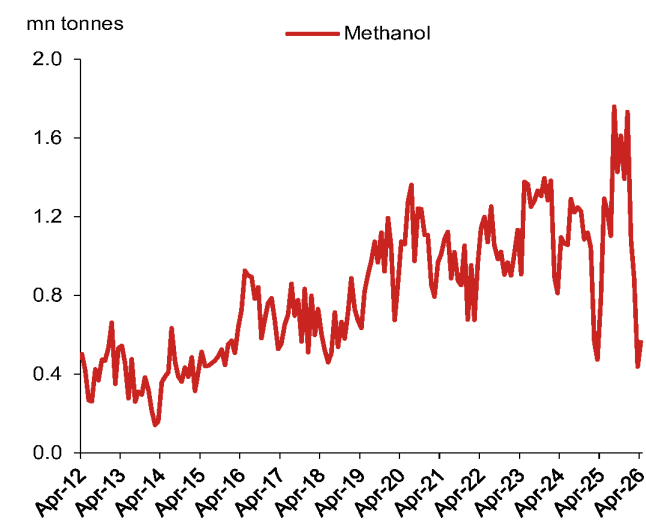
On essential chemical raw materials for producing plastics and fabrics, import volumes of ethylene glycol plummeted by 46.3% y-o-y in April to its lowest monthly reading since 2007 (Figure 11). Import volumes of methanol dropped by 28.6% y-o-y in April and by 7.4% in March to its lowest monthly reading since mid-2015 (Figure 12). China's import reliance on ethylene glycol and methanol is around 30% and 15%, respectively, with nearly 65% and 70% of imports from the Middle East.

Fig. 11: Imports of ethylene glycol



Source: China Customs, Wind, Nomura Global Economics.

Fig. 12: Imports of methanol



Source: China Customs, Wind, Nomura Global Economics.

Appendix A-1

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